can print about many of the matters of greatest interest to me, I do not find them a rich source of new ideas on the best companies to investigate.

There is another possible source of worthwhile original leads which others with better technical backgrounds or greater ability might be able to employ profitably, although I have not successfully done so. This source is the major consulting research laboratories such as Arthur D. Little, Stanford Research Institute, or Battelle. I have found that personnel of these organizations have great understanding of just the business and technical developments from which worthwhile original investment ideas should come. However, I have found the usefulness of this group largely blocked by their tendency (which is entirely praiseworthy) to be unwilling to discuss most of what they know because it might violate the confidence of the client companies for which they have worked. If someone smarter than I am could find a way, without injury to these client companies, of unlocking the mine of investment information I suspect these organizations possess, he might well have found a means of importantly improving on my methods regarding this particular step in the quest for growth stocks.

So much for step one. On the basis of a few hours' conversation, usually with an outstanding investment man, occasionally with a business executive or scientist, I have made a decision that a particular company might be exciting. I will start my investigation. What do I do next?

There are three things I emphatically do not do. I do not (for reasons that I think will soon become clear) approach anyone in the management at this stage. I do not spend hours and hours going over old annual reports and making minute studies of minor year-by-year changes in the balance sheet. I do not ask every stockbroker I know what he thinks of the stock. I will, however, glance over the balance sheet to determine the general nature of the capitalization and financial position. If there is an SEC prospectus I will read with care those parts covering breakdown of total sales by product lines, competition, degree of officer or other major ownership of common stock (this can also usu-ally be obtained from the proxy statement), and all earning statement figures throwing light on depreciation (and depletion, if any), profit margins, extent of research activity, and abnormal or non-recurring costs in prior years' operations.